Developers

Flash Loans

Borrow any amount of USDG with no collateral, repaid in one transaction.

What flash loans are

A flash loan lets a smart contract borrow USDG from the Longbow settlement layer, use it, and repay it — all within a single transaction. The contract receives the funds, does whatever it needs to do with them, and returns them before the transaction ends.

If it can't repay in full, the entire transaction reverts, as if nothing ever happened. There is no collateral, no approval process, and no counterparty risk. Repayment isn't a promise — it's guaranteed by the blockchain itself. Either the loan comes back in the same transaction, or the loan was never made.

What they're used for

Arbitrage — capture price differences between DEXes on Robinhood Chain with no upfront capital.

Liquidations — repay an undercollateralized borrower's debt and claim the collateral, funded entirely by the loan.

Collateral swaps — change the collateral backing a position without closing it or posting new capital.

Refinancing — move a position between markets atomically, in one transaction.

Portfolio rebalancing at scale — restructure large positions without pre-funding each leg.

Technical reference

SETTLEMENT CONTRACT	`0x9D53d5E3bd5E8d4Cbfa6DB1ca238AEA02E651010`

LOAN ASSET	USDG — `0x5fc5360D0400a0Fd4f2af552ADD042D716F1d168` (6 decimals)
FEE	**0%** — flash loans on the Morpho Blue settlement layer are free by default
MAX AVAILABLE	The full USDG liquidity in the settlement layer (**≈ 44M USDG** at time of writing)
CHAIN	Robinhood Chain (4663)

Function — called on the settlement contract:

```solidity
function flashLoan(address token, uint256 assets, bytes calldata data) external;
```

Callback — your contract (the `msg.sender` that calls `flashLoan`) must implement:

```solidity
interface IMorphoFlashLoanCallback {
    function onMorphoFlashLoan(uint256 assets, bytes calldata data) external;
}
```

The flow, exactly: the settlement contract transfers `assets` of `token` to your contract, calls your `onMorphoFlashLoan(assets, data)`, then pulls `assets` back via `transferFrom`. So inside the callback you must (1) do your work and (2) leave your contract holding `assets` USDG and approve the settlement contract to pull it back. Because the fee is zero, you repay exactly what you borrowed — not a wei more.

Example contract

A minimal, copy-pasteable contract. It borrows USDG, runs your logic in the callback, and repays — the settlement contract enforces the rest.

FlashBorrower.sol

```
// SPDX-License-Identifier: MIT
pragma solidity ^0.8.19;

interface IERC20 {
    function approve(address spender, uint256 amount) external returns (bool);
}
```

```
interface IMorpho {
    // The settlement layer's flash-loan entrypoint.
    function flashLoan(address token, uint256 assets, bytes calldata data) external;
}

interface IMorphoFlashLoanCallback {
    function onMorphoFlashLoan(uint256 assets, bytes calldata data) external;
}

contract FlashBorrower is IMorphoFlashLoanCallback {
    // Longbow / Morpho Blue settlement contract on Robinhood Chain (4663).
    IMorpho constant MORPHO = IMorpho(0x9D53d5E3bd5E8d4Cbfa6DB1ca238AEA02E651010);
    address  constant USDG   = 0x5fc5360D0400a0Fd4f2af552ADD042D716F1d168;

    /// @notice Kick off a flash loan of `amount` USDG (6 decimals).
    function run(uint256 amount) external {
        // Anything you want to pass into the callback goes in `data`.
        MORPHO.flashLoan(USDG, amount, abi.encode(amount));
    }

    /// @notice Called by the settlement contract mid-transaction, once the USDG has arriv
    function onMorphoFlashLoan(uint256 assets, bytes calldata data) external {
        require(msg.sender == address(MORPHO), "only settlement");

        // ---- YOUR LOGIC HERE -------------------------------------------
        // The `assets` USDG are now in this contract. Arbitrage, liquidate,
        // swap collateral, refinance — anything that returns `assets` USDG to
        // this contract before this function ends.
        // ----------------------------------------------------------------

        // Repay: approve the settlement contract to pull the exact amount back.
        // Fee is zero, so you owe precisely `assets`.
        IERC20(USDG).approve(address(MORPHO), assets);
    }
}
```

Safety

Flash loans are risk-free to the protocol and to vault depositors. The USDG leaves and returns within the same transaction — and if it doesn't return in full, the transaction reverts and the loan never happened. The settlement layer's balance is never reduced beyond a single block's execution, and the EVM's atomicity guarantee makes partial repayment impossible: it is all or nothing. Depositor funds cannot be lost to a flash loan, by construction.

Browse markets

Flash loans are a core primitive of the Morpho Blue settlement layer. Longbow is the first protocol to document and surface them on Robinhood Chain.

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